URBAN LOOM:
A DATA-DRIVEN GROWTH STRATEGY

Fantastic Five: Data Insights Team

8th October 2025

OBJECTIVE

IDENTIFY THE KEY DRIVERS OF URBAN LOOM'S BUSINESS GROWTH AND INFORM A SUCCESSFUL EXPANSION STRATEGY

MEET YOUR DATA TEAM

Mona Covalea
Data Analyst

Team Member 2
Data Analyst

Team Member 3
Data Analyst

Team Member 4
AI Data Scientist

Team Member 5
Lead Data Strategist

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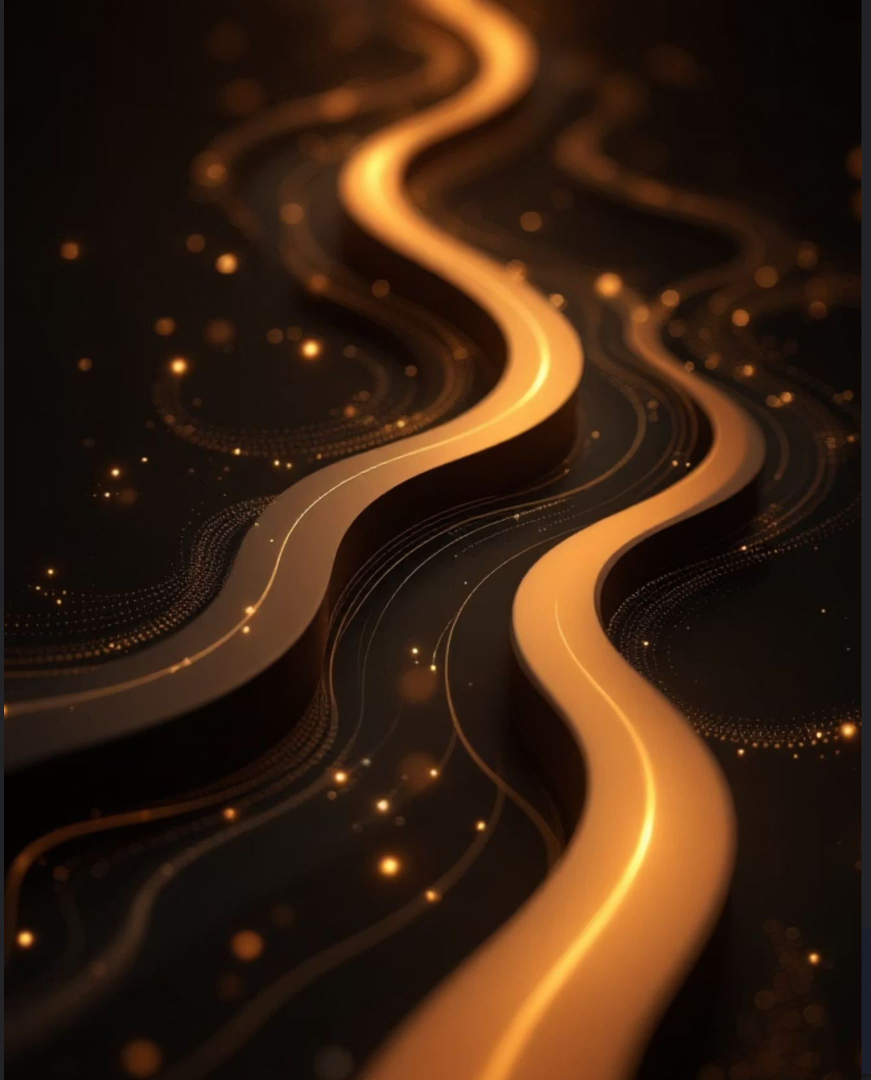
PRESENTATION ROADMAP

- Key Business Insights
- AI & Machine Learning Applications
- Long-Term Data Strategy
- Q&A



EXECUTIVE SUMMARY: KEY FINDINGS

Assessing Expansion Opportunities

We have identified Manchester and London as cities offering the strongest potential in both customer base and total revenue.

Optimising Customer Loyalty

Personalised marketing campaigns and enhanced loyalty programmes offer significant untapped potential to further boost customer lifetime value and secure sustained growth.

Refining the Product Line

Whilst Loungewear drives the highest revenue, iteratively reviewing product returns can enhance item's popularity and redefine Urban Loom's brand image.

1. Where Should We Open Our First Physical Store?

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KPI REPORTING: LOCATION

Total Revenue by City

£1.5M

+8% (QoQ)

Owner: Jo, Founder & CEO

Average Order Value (AOV)

£125

+3% (QoQ)

Owner: Jared, Product Lead

Profit Margin by City

22%

-1% (QoQ)

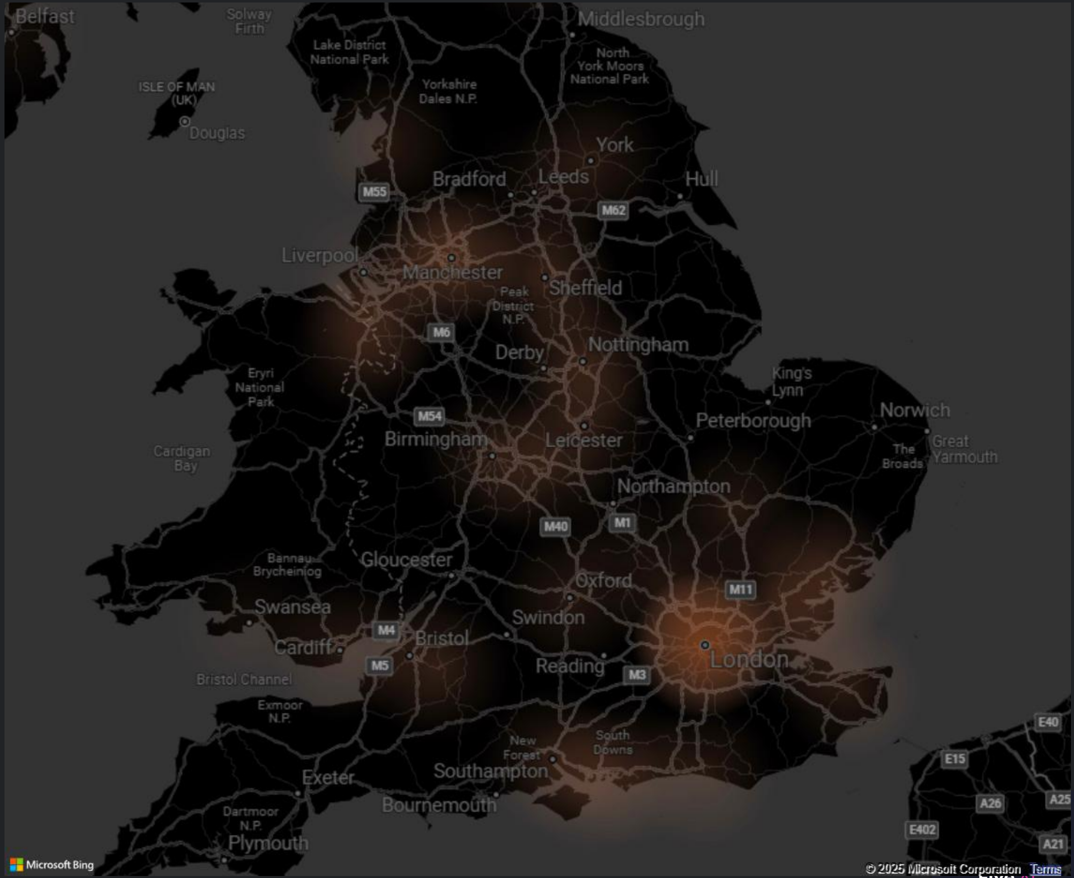
Owner: Jo, Founder & CEO

Example target reporting using key KPIs

HIGH-VALUE DEMAND CLUSTERS EMERGING

1. London Market(South East) – Prime Location, Premium Price
2. North West Region – Reliable Demand, Scalable Opportunity.
3. Built-In Advantage for Our Logistics Network

The Map Speaks: Two Centers of Gravity

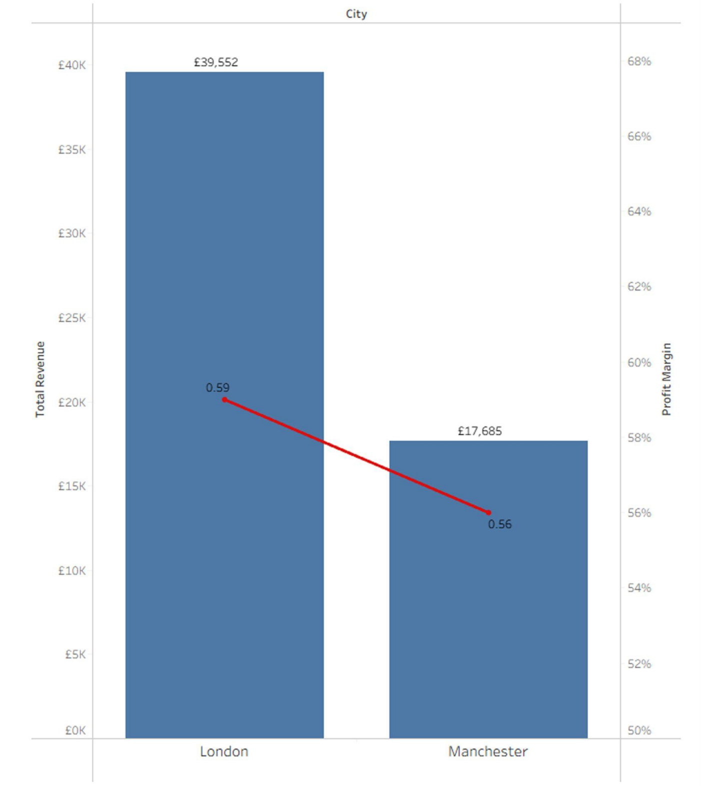


LONDON SETS THE PACE IN SALES VOLUME

1. London generates more than twice the revenue of its nearest competitors.

2. Manchester combines higher-value orders with manageable inventory, while maintaining a similar profit margin.

3. While London leads in all aspects, Manchester demonstrates strong operational efficiency, achieving nearly equivalent profit margins.



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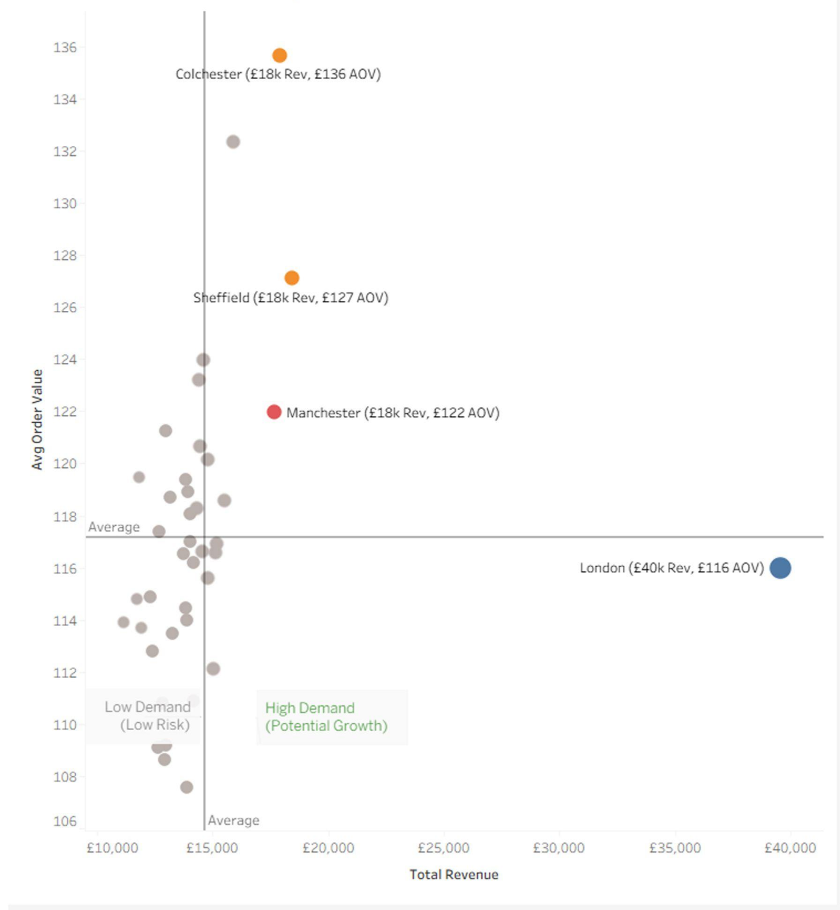
MANCHESTER CLAIMS THE SWEET SPOT

1	London - The Extreme Outlier - is the clear leader in revenue and customer base
2	Manchester - The Strategic Sweet Spot — high loyalty, good spend, and strong volume.
3	Colchester stands out for high AOV, showing potential for a pop-up or showroom.



DO WE AIM FOR SCALE NOW OR START SMART AND SUCCEED FIRST?

Step 1: Gather Data

📊 Sales, 👥 Population,
📍 Competitors, 💰 Costs

Step 2: Prepare Data

Map demand, competition, rent, accessibility

Step 3: Analyze Market

Hotspots, competitor density, profitability estimates

Step 4: Score Locations

✅ High demand ✅ Low competition
✅ Affordable costs ✅ Accessibility

Step 5: Recommend Sites

📍 Rank best locations
📍 Show on map

INSIGHTS AND OPPORTUNITY

Finding the Right Location: Beyond SQL Insights

- SQL results show London = Highest Revenue
- SQL results shows Manchester = Sweet Spot
- But where in London or Manchester would the store be?

Proposed Approach: K-Means Clustering + Geospatial Analysis

Key Variables:

- Demographics
- Foot Traffic & Mobility
- Commercial Rent Costs
- Competitor Locations
- Urban Loom Internal Data

Expected Outcome:

AI model outputs "hotspot clusters" for ideal store locations, enabling a data-driven expansion strategy that minimises risk and maximize ROI.

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MODEL EXPANSION & TACTICAL STEPS

Optimising Store Placement

- London: strong transport links, high potential
- Expand analysis UK-wide
- Compare per capita spending & rent
- Identify hidden high-growth cities

Tactical Next Steps

Phase 1: Pilot Pop-Ups

Phase 2: Data Collection

Phase 3: Model Refinement

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2. Which Group of Customers Can Drive More Revenue?

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1 IN 3 CUSTOMERS ARE 'LOW TIER'

1

"Looking at all transactions made by each unique customer, we grouped them into three spend tiers — high, mid, and low — based purely on their total spend.

2

It's important to note that we didn't factor in purchase frequency, since 97% of customers have only made a single transaction. That means total spend is currently the most reliable indicator of customer value.

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DATA DRIVEN STRATEGY

HIGH TIER — **£272k**

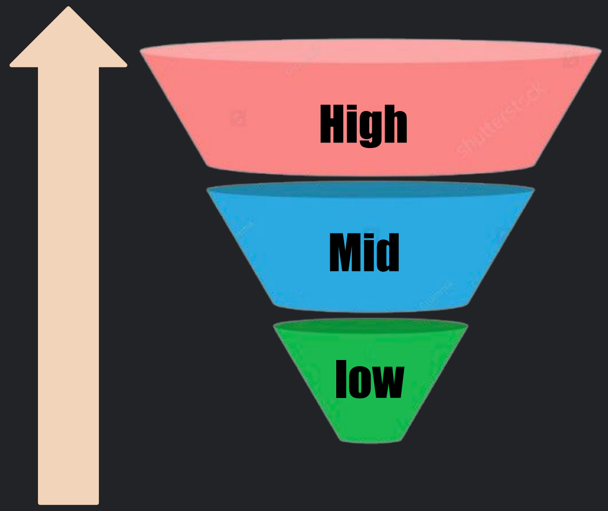
AVG: £160.63

MID TIER — **£105k**

AVG: £102.24

LOW TIER — **£82k**

AVG: £64.41



‘Converting just 20% of our low-tier customers upstream generates an additional **£9.7K** in revenue’

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HOW WE MOVE OUR LOW TIER COSTUMES UPWARDS

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KPI REPORTING: MARKETING

AOV Lift From Baseline

£28.38

+20% (QoQ)

Owner: Jared, Product Lead

Tier Conversion Rate

1 customer per Day

+3% (QoQ)

Owner: Kojo, Marketing Director

Incremental Revenue (Net)

£x

+ x% (QoQ)

Owner: Kojo, Marketing Director

Note: QoQ = Quarter-over-Quarter. Trends are based on a 3-month view.

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BUILDING CUSTOMER LOYALTY THROUGH DATA

Assumption: Marketing can increase customer loyalty
Focus Group: Customers with 2+ purchases (existing loyalty signals)

Objective:

- Measure how marketing spend & exposure influence loyalty growth
- Identify which campaigns best encourage repeat purchases

Proposed Approach: K-Means Clustering + Geospatial Analysis

Key Variables:

Marketing: Spend, exposure, campaign type, timing

Customer Tiers: Low, Mid, High (based on spend)

Behavioral: Recency, frequency, engagement, demographics

→ Potential to build an ML framework to optimize marketing actions

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MODEL EXPANSION & TACTICAL STEPS

Multi-Touch Attribution:

- Purchases follow multiple interactions (views, clicks, ads)
- Attribution assigns credit across touchpoints

Reinforcement Learning Approach:

- Built on Markov Decision Processes (MDPs)
- Models customer journeys as state transitions

  (e.g., View → Add to Cart → Purchase)
- Learns optimal marketing actions to maximize conversions

Applied to Loyalty Tiers:

- Identify which actions move customers between tiers
- Continuously adapt spend to channels that increase repeat purchases
- Integrate with ML predictions for personalized marketing strategies

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3. How can we Streamline Core Product Line?

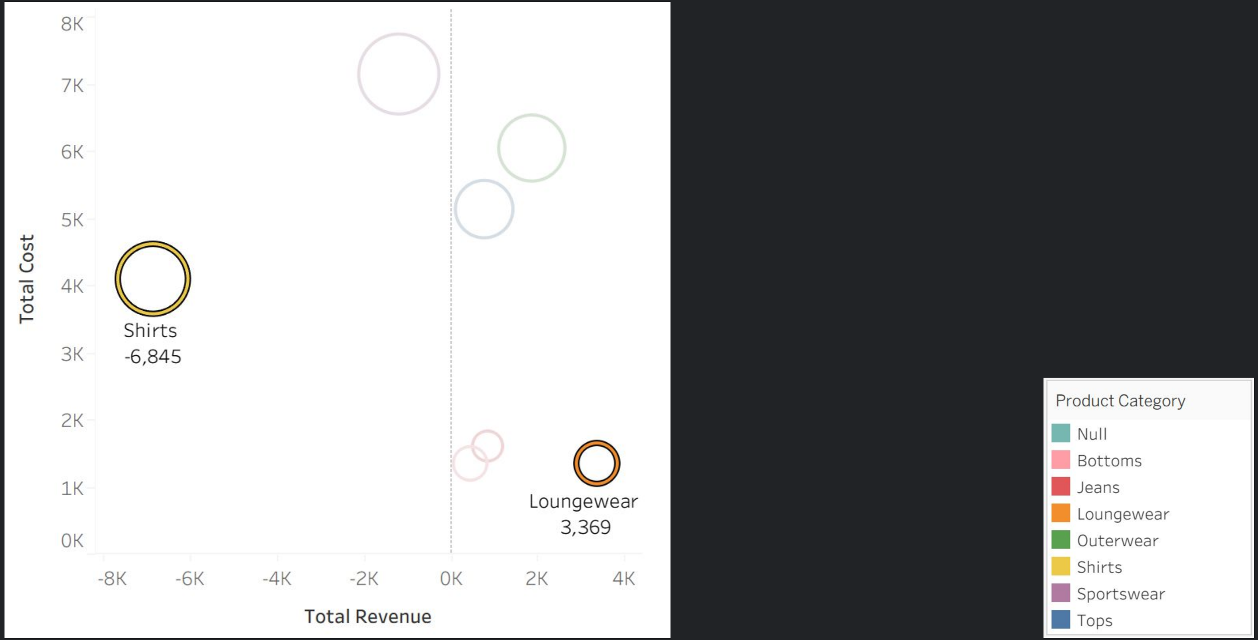
PRODUCT ATTRIBUTES

Size

Colour

Category

LOUNGEWEAR'S STRONG POSITION WITH HIGH REVENUE AND LOW COSTS



1 Loungewear generates the highest revenue of £3,369

2 Huge Volume at Higher Cost Range

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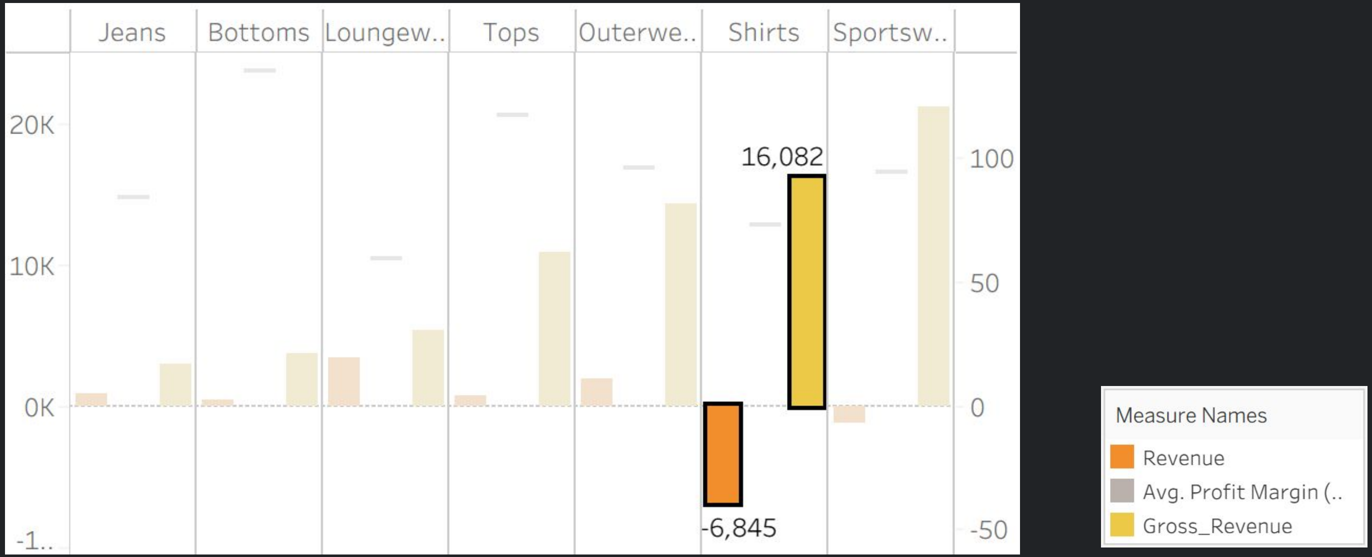
SHIRTS HUGE POTENTIAL REVENUE



1. Possibility to exploit high potential revenue in 'Shirts' Category

2. Collect Customer Feedback to iterate design process

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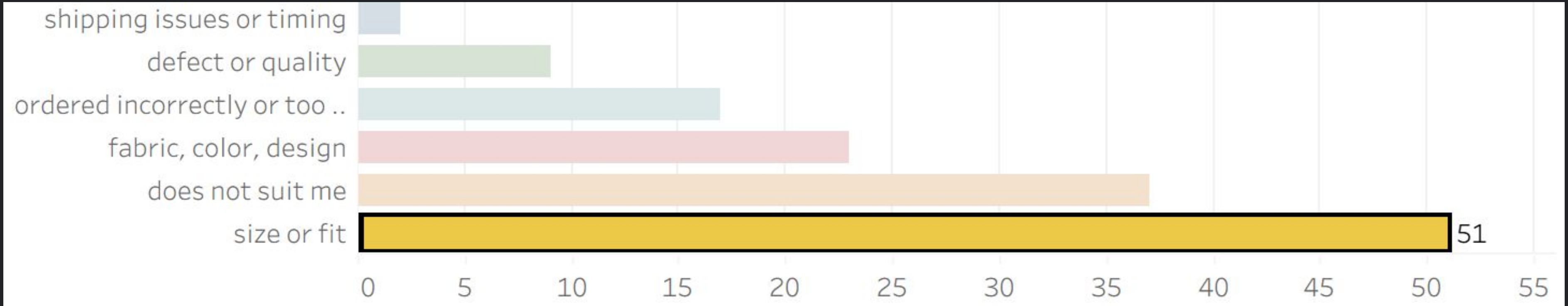
IMPLEMENT SIZING GUIDES TO REDUCE RETURNS



KPI REPORTING: PRODUCT

Profit Per Unit

£14.60

+2% (Monthly)

Owner: Jared, Product Manager

Return Rate (%)

3.4%

-16% (QoQ)

Owner: Ameena

Product Range Concentration

36%

-1% (QoQ)

Owner: Jo, Founder & CEO

Example target reporting using key KPIs

KPI REPORTING

Drawing from a Single Source of Truth

KPI	Definition	Source	Owner	Frequency	Formula
Total Revenue	Key financial metric for company performance.	Order Line It...	Jo	Weekly, Quarterly	SUM(revenue)
Profit	Helps assess margins. Returned items should be excluded.	Order Line It..., Products	Jo	Weekly, Quarterly	SUM(revenue - cost_price * c
Return Rate	High return rate may indicate product quality or sizing issues.	Order Line It...	Jared	Monthly	COUNT(order_line_items.ret
Top Return Reason by Category	Helps streamline product offerings and reduce returns.	Order Line It..., Products	Kojo	Monthly	MODE(return_reason) group
Distinct Customers	Useful for customer base growth and retention.	Customers, Order Trans...	Kojo	Quarterly	COUNT(DISTINCT customer
Repeat Purchase Rate	Core customer retention metric.	Order Trans...	Kojo	Monthly	COUNT(customers with >1 c
Customer Lifetime Value (CLV)	Predictive KPI for long-term planning.	Order Trans..., Order Line It...	Kojo	Quarterly	AVG(revenue per customer)
On-time Delivery %	Core logistics KPI for service quality.	Order Trans...	Ameena	Weekly	COUNT(delivered orders wit
Stock Risk Flag	Early warning system for bestsellers running low.	Order Line It..., Inventory	Ameena	Weekly	IF(quantity sold > threshold
Marketing ROI	Requires campaign cost data not in current dataset.	Order Line It..., Order Marke...	Kojo	Quarterly	(Revenue from campaign - C
KPI	*Definition*				
KPI	*Definition*				
KPI	*Definition*				
KPI	*Definition*				

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PRODUCT RECOMMENDATION & OPTIMIZATION

1

Collaborative Filtering (Customer–Product Patterns)

- Recommends clothing items frequently bought or liked by similar customers.
- Learns from purchase history, frequency, and value tiers to drive loyalty.
- Example: “Customers who bought this blazer also bought these trousers.”

2

Content-Based Recommendations

- Matches products by attributes — style, color, size, fabric, fit type.
- Uses text embeddings (from descriptions) or image recognition (CNNs) to identify similar styles.
- Helps forecast demand for popular colors/sizes to improve inventory accuracy.

3

Hybrid Recommender Systems

- Combine collaborative + content-based signals for stronger personalization.
- Adapts to both new customers (limited data) and returning customers (rich history).
- Can integrate marketing exposure and purchase sequence (via GA4 / CRM data).

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PREDICTIVE MODELS & TREND FORECASTING

1

Association Rule Mining

- Discovers co-purchase patterns – e.g. "Denim jackets + white sneakers."
- Informs styling bundles and cross-selling promotions.

2

Predictive Return Modeling

- Predicts which products or sizes are likely to be returned.
- Features: size mismatch rate, fit feedback, material type, body profile cluster.
- Guides product design and supports a "Fit Recommendation Tool" for customers.

3

Time-Series & Segmentation Models

- Forecast trends in colors, styles, and seasonal demand.
- Uses LSTM / Prophet models + K-Means clustering to segment fashion preferences.
- Supports rotating product lines to stay aligned with customer tastes.

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Urban Loom: Data Strategy Roadmap

AGENDA

Turning insights into long-term capabilities, guiding Urban Loom's data-driven future.

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TECH BUSINESS

PLAN OF THE YEAR

DATA STRATEGY ROADMAP

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OCTOBER, 2025

1

SHORT-TERM FOCUS

Establish data pipelines, dashboards, and quick wins for immediate business insights.

2

MID-TERM FOCUS

Expand analytics maturity with predictive models, automation, and scalable storage solutions

3

LONG-TERM FOCUS

Adopt AI/ML-driven decision systems, real-time insights, and continuous innovation culture

4

DATA GOVERNANCE/ETHICS

Ensure GDPR compliance, data quality, security, and ethical management of customer information

5

GROWTH AND SCALABILITY

Build trust through transparency while scaling AI to drive sustainable, responsible growth.

SHORT TERM FOCUS (0-12 MONTHS)

Our immediate strategy centres on establishing foundational data visibility and ensuring rapid value creation.

Enhanced Data Dashboards

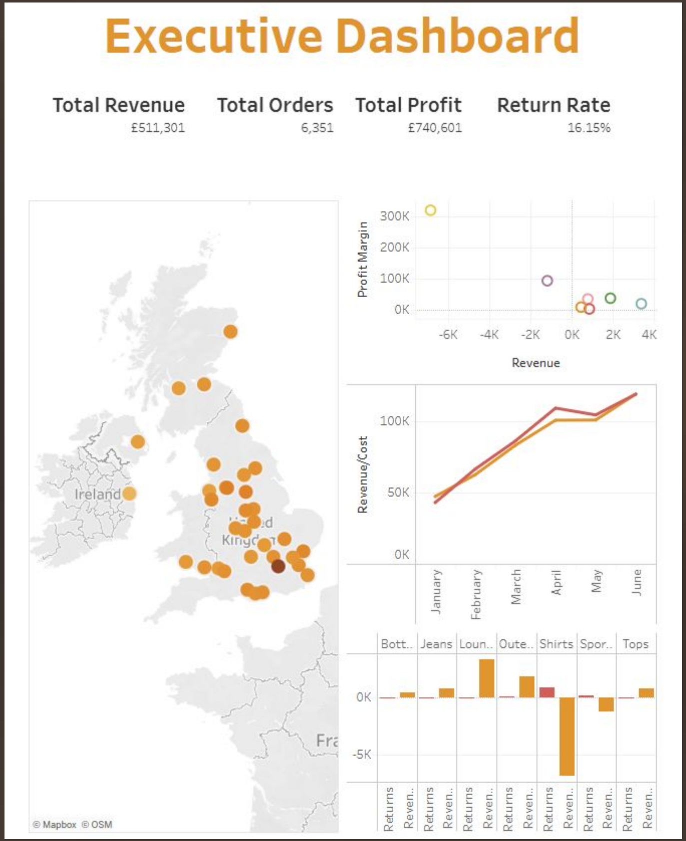
Develop Executive, Sales, Inventory, and Marketing dashboards for real-time insights.

Streamlined KPI Reporting

Implement manual KPI collection and reporting processes to ensure consistent data tracking.

Loyalty Scheme Pilot

Launch a pilot loyalty scheme to test customer engagement and gather initial performance data.



MID TERM FOCUS: INFRASTRUCTURE (1-2 YEARS)

Our mid-term strategy focuses on building robust and scalable data infrastructure to support Urban Loom's sustained growth and unlock deeper insights, emphasising automation and efficiency.

Automated Data Pipelines

Data Lakes Development

Advanced Customer Segmentation

Real-time Stock Dashboards

LONG TERM FOCUS: PREDICTIVE ML (2-5 YEARS)

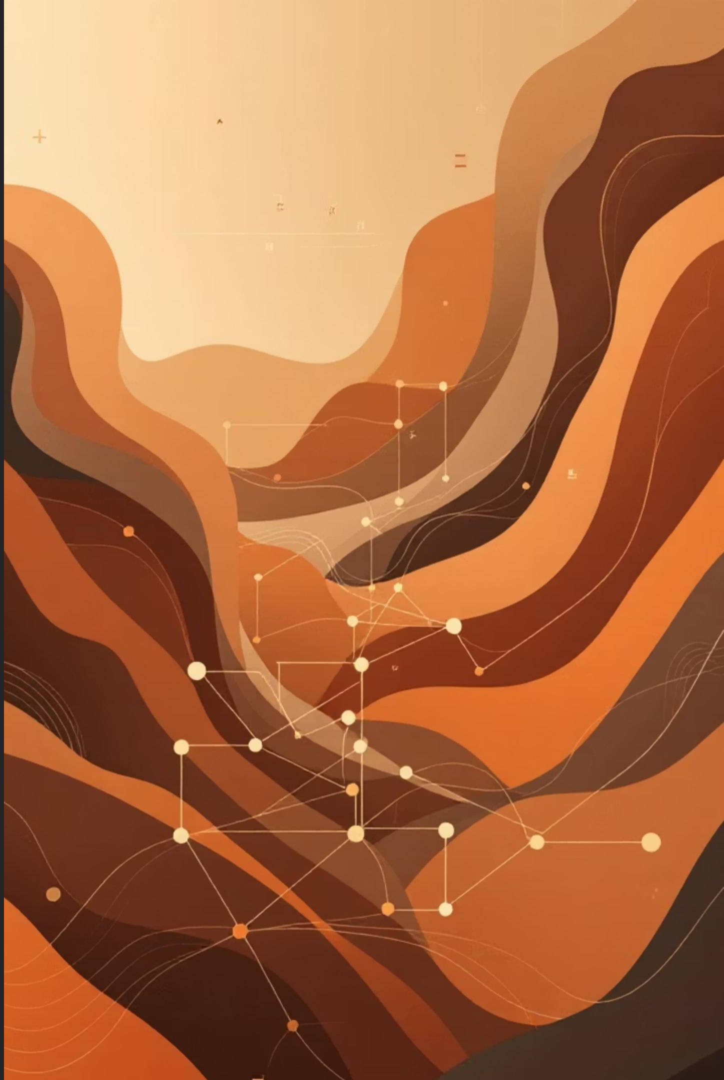
Our long-term vision leverages advanced predictive machine learning to transform Urban Loom into a proactive, insight-driven business, anticipating market trends and customer needs.

Predictive Store Location Modelling

Customer Lifetime Value & Churn Prediction

Demand Forecasting for Core Product Range

Automation & Real-time Alerts



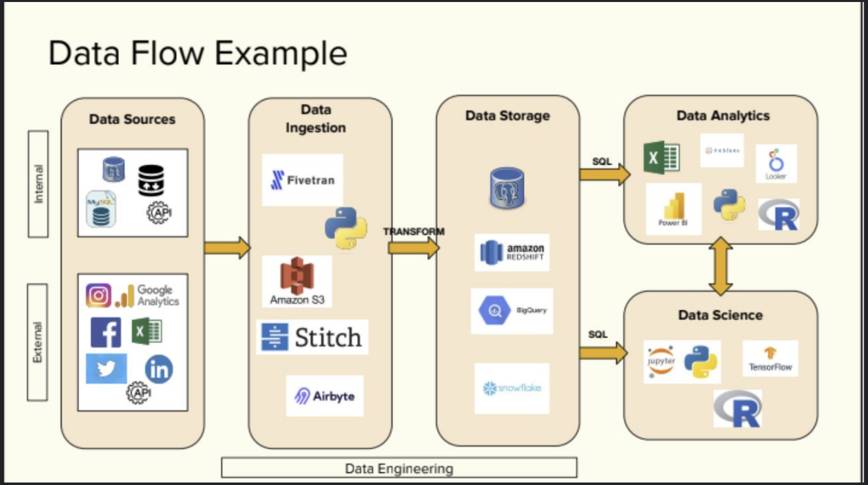
RESPONSIBLE DATA USE (ETHICS & GOVERNANCE)

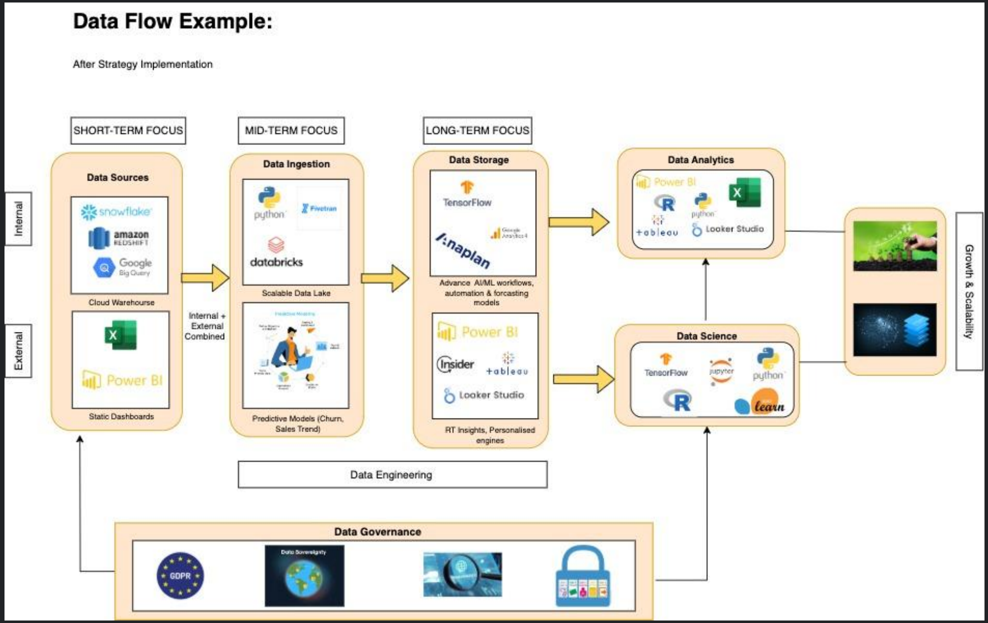
Establishing a robust framework for ethical data practices and governance is crucial for Urban Loom's long-term success and customer trust.

DATA FLOW DIAGRAM : AFTER STRATEGY IMPLEMENTATION

BEFORE

AFTER





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Questions & Discussion

Thank you for listening

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Appendix

notes, references and models

Appendix

1. Slide Deck: Gamma
2. Analysis: SQL, Excel
3. Visualisations: PowerBI, Tableau
4. KPI Reporting: Google Sheets
5. Dashboard: Tableau

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